

Ch #12

Corporate Entrepreneurship

- ⇒ Corporate entrepreneurship means encouraging employees in big companies to think and act like entrepreneurs.
- ⇒ It's about promoting innovation, taking risks, and exploring new ideas within the company's rules and structure to help the company grow and stay competitive.
- ⇒ "Entrepreneurial action within an established organization."
- ⇒ Corporate entrepreneurship refers to the practice of established companies fostering innovation, creativity, and risk-taking within their organizational structures to develop new products, services, or processes, same like to the entrepreneurial spirit found in start up ventures.

Examples

⇒ Google creating Google X (now X Development LLC) as a separate division.

⇒ This division focuses on developing futuristic technologies.

⇒ Examples include self-driving cars and delivery drones.

⇒ Shows how a big company encourages entrepreneurial activities within its structure.

Ch #2

Q. Write down steps to establish Corporate entrepreneurship in an Organization? (PP-2023)

"A man who reviews the old so as to find out the new" is qualified to teach others.

⇒ Corporate entrepreneurship refers to entrepreneurial activities, such as innovation, venturing, and strategic renewal, within existing firms.

⇒ The idea behind corporate entrepreneurship goes back to the mid-1970s.

⇒ It was introduced by Peterson and Berger as a strategy and leadership style adopted by large organizations to cope with the increasing level of market turbulence.

Steps

⇒ The following steps should be followed:

Step 01: Commitment / culture:

⇒ The first step is to secure a commitment to corporate entrepreneurship in the organization by top upper and middle management levels.

⇒ Top management commitment.

⇒ Managers in an organization strongly supporting corporate entrepreneurship.

⇒ Without top management commitment, the organization will never be able to go through all the culture changes necessary for implementation.

⇒ Once the top management of the organization has been committed to corporate entrepreneurship for a sufficient period of time (at least three years), the concept can be introduced throughout the organization.

⇒ Establish initial framework and embrace the concept.

⇒ Identify, select and train the corporate entrepreneurs.

for example:

- if the boss encourages new ideas and supports taking risks, employees will feel more comfortable being creative.
- Google encourage innovation through its "80% time" policy, where employees can spend 80% of their workweek on projects of their choosing.

Step 2: Plan & Organize:

- Identify ideas and areas that top management is interested in supporting.
- Identify the amount of risky money available to develop the concept.
- Develop a clear plan outlining goals, timelines and resources for entrepreneurial initiatives.
- Establishing a mentor/sponsors system.

⇒ if sponsors or champions are not specifying, there might be a chance that the culture of the organization can be transformed to entrepreneurial one.

⇒ Example:

- if a company wants to create a new products, they will need to figure out who will work on it and how much money they can spend.

Step-03: Technology:

⇒ Use the technology to help the company to make itself more flexible.

⇒ Leveraging of technology is essential for a company.

for instance, using software that allows employees to work from anywhere can make it easier for a company to adapt to changes in the market.

⇒ Technology has been used by small companies years ago that behave like big one.

⇒ Large companies ^{can} use technology to make themselves responsive and flexible like smaller firms.

Examples

⇒ Amazon uses Amazon web services (AWS) for cloud computing.

⇒ AWS lets Amazon scale up or down quickly and try out new ideas without a big upfront investment.

⇒ It is like a renting service space on the internet for data and programs, which helps Amazon be flexible and innovative.

Step 04: Training:

⇒ Identify interested managers to train employees and share their experiences.

⇒ This could mean offering classes or workshops on things like coming up with new ideas or taking calculated risks.

⇒ The training sessions should be conducted one day per month for a specified period of time.

⇒ Training and identification of interested employees is crucial.

Program to equip
⇒ The purpose of offering training employees with the skills and knowledge needed to think and act like entrepreneurs.

Examples

For example, Microsoft offers various training programs through its Microsoft Ventures initiative to empower employees with entrepreneurial skills and knowledge.

Step 5: Customer Focus:

⇒ Developing the ways to get closer to the customers.

⇒ Pay close attention to what your customers want and need.

⇒ This can be done by tapping the database, hiring from smaller rivals, and helping the retailers.

⇒ For instance, if customers are asking for a new feature in a product, the company should listen and consider adding it.

Examples

⇒ Zappos, an online shoe retailer, prioritizes customer service by offering free shipping and returns, creating a positive customer ^{experience that} fosters loyalty and drives repeat business.

Step 06: Resource management

⇒ Allocate dedicated funds, time and manpower to support entrepreneurial projects and ventures.

⇒ It also involves learning to do more with fewer resources is essential for entrepreneurial success.

⇒ The concept of "lean and mean" needs to exist if corporate entrepreneurship is to prevail.

⇒ For example, finding ways to cut costs without sacrificing quality can help a company be more successful.

Examples

⇒ Tesla optimized its supply chain and manufacturing processes to produce electric vehicles efficiently, despite facing resource constraints in the early stages of its operation.

Step 07: Support Structure

⇒ Establish a strong support structure for corporate entrepreneurship.

⇒ This is particularly important since corporate entrepreneurship is usually a secondary activity in the organization.

⇒ This could include offering or giving access to mentors or mentorship programs, innovation hubs, and cross-functional teams to assist and guide entrepreneurs.

⇒ Also giving the funding for their project.

Examples

⇒ For instance, 3M's "15% Rule" allows employees to allocate a portion of their work time to pursue projects of their choice, supported by the mentorship from the company and resources.

Step 08: Rewards:

- ⇒ This step involves tie rewards to the performance of the entrepreneurial units.
- ⇒ Offer incentives for employees who come up with successful ideas could be anything from a bonus to recognition at a company meeting.
- ⇒ This encourages the team members to work harder and compete more effectively since they will be benefit directly from their efforts.
- ⇒ Because the corporate venture is a part of the larger organization and not a totally independent unit, the equity portion of the compensation is particularly difficult to handle.

Examples

- ⇒ Google rewards successful projects with bonuses, recognition, and opportunities for career advancement, motivating employees to pursue entrepreneurial initiatives.

Step 09: Evaluation System:

- ⇒ Involves implementing an evaluation system helps identify successful entrepreneurial ventures and eliminate unsuccessful ones.
- ⇒ Keep track of how well new ideas are working.
- ⇒ If something isn't successful, figure out why and learn from it.
- ⇒ The organization can implement the constraints to ensure that this expansion does not run contrary to the corporate mission statement.
- ⇒ Similarly, corporate ventures that fail to show sufficient viability should not be allowed to exist just because of vested interests.

Example

- ⇒ If a new product is not selling well, the company should investigate why and make changes for the future.

Step 10: Promote Collaboration:

- ⇒ Encourage collaboration and sharing knowledge across departments.

and teams to spark innovation and creativity.

Conclusions

⇒ Establishing Corporate entrepreneurship in an organization requires a multi-faceted approach that encompasses commitment from leadership, strategic planning, utilization of technology, employee training, customer focus, efficient resource management, supportive structures, rewarding successful initiatives, and implementing an evaluation system.

Q. Write down leadership characteristics of corporate entrepreneurship?

⇒ The person who is going to establish a successful new venture within the firm must also be a visionary leader.

⇒ "A leader is like a gardener." For example, when you want a tomato, you take a seed, put it in fertile soil, and carefully water under tender care. You don't manufacture tomatoes, you grow them.

Another good definition:-

⇒ "Leadership is the ability to dream great things and communicate these in such a way that people say yes to being a part of the dream."

⇒ The leadership characteristics of Corporate entrepreneurship:

⇒ Understand all aspects of the environment. To establish a successful corporate venture, the individual's level of creativity

must be creative and have a broad understanding of the internal and external environments of the corporation.

⇒ must also be visionary means who dreams great dreams.

⇒ must have a dream and overcome obstacles to achieving it by selling the dream to others.

⇒ Must be flexible. Does not "mind the store" but rather is open to and even encourages change.

⇒ Creates Management options

⇒ Encourage teamwork and use a multidisciplinary approach.

⇒ Open discussion must be encouraged to develop a good team for creating something new

⇒ There are two types of conflicts that occur in team interactions:

1) Conflict over the nature of the task.

2) Relationship conflict where the discussion becomes personal

⇒ Builds a coalition of supporters. Openness leads also to the establishment

of a strong coalition of supporters and encouragers.

⇒ Makes everyone a hero.

⇒ Persists, Throughout the establishment of any new venture, frustration and obstacles will occur.

Q. How can the culture for corporate entrepreneurship be established in an organization?

⇒ In establishing an entrepreneurial environment within an established organization, certain factors and leadership characteristics need to be present.

1: Organization operates on frontiers of technology:

⇒ Since research and development are key sources of successful new product ideas, the firm must operate on the cutting edge of the technology.

⇒ Encouraging and supporting new ideas instead of discouraging.

2: Encouraging new ideas:

⇒ Should encourage new ideas.

By encouraging experimentation:

⇒ Entrepreneurial firms encourage experimentation to facilitate trial-and-error learning.

⇒ Successful new products or services usually do not appear fully developed, they evolve.

⇒ Almost every entrepreneurial has experienced at least one failure in establishing a successful venture.

4. Remove obstacles:

⇒ Entrepreneurial firms remove obstacles to creativity in the new product development process.

5. Highly accessible resources:

⇒ Entrepreneurial firms make highly accessible resources for experimentation.

6. Encourage multidisciplinary team work:

⇒ Entrepreneurial firms construct and encourage multidisciplinary teams to work on new ventures.

7. Establish a long time horizon:

⇒ The corporate environment must establish a long time horizon for evaluating the success of the overall program as well as the success of each individual venture.

⇒ if a company is not willing to invest money without a guarantee of return for 5-10 years, it should not attempt to create an entrepreneurial environment.

8. Volunteer program:

⇒ The spirit of corporate entrepreneurship cannot be forced on individuals, it must be voluntary basis.

⇒ Corporate thinking and entrepreneurship thinking are totally different.

→ Certain individuals might be performing much better.

9. Reward System:

⇒ Entrepreneurial firms create a reward system that encourage

creativity, risk-taking and even failure.

⇒ Rewards should be based on attainment of established performance goals.

⇒ An equity position in the new venture is one of the best rewards for motivating and eliciting the amount of activity and effort needed for success.

10. Developing Sponsors & Champions:

⇒ Entrepreneurial firm develops Sponsors, develop product Champions and matches the two.

⇒ Corporate environment favorable for corporate entrepreneurship

⇒ Sponsors and Champions throughout the organization not only support the creative activity but also have planning flexibility to establish new objectives and directions as needed.

11. Build top management team:

→ Entrepreneurial firm has a top management team that wholeheartedly supports and embraces the entrepreneurial actions of employees.

Q. Write Characteristics of Entrepreneurial environment

- ⇒ Organization operates on frontiers of technology.
- ⇒ New ideas encouraged.
- ⇒ Trial and error encouraged.
- ⇒ Failures allowed.
- ⇒ No opportunity parameters
- ⇒ Resources available and accessible.
- ⇒ Multidiscipline team work approach
- ⇒ Long time horizon.
- ⇒ Volunteer program
- ⇒ Appropriate reward system
- ⇒ Sponsors and Champions available
- ⇒ Support of top management

Q. What are the causes of interest in corporate entrepreneurship?

⇒ Interest in corporate entrepreneurship, also known as intrapreneurship, can be attributed to several factors:

1. Innovation & Adaptability
2. Risk Mitigation
3. Talent retention & engagement
4. Cost efficiency
5. Strategic Growth
6. Market Disruption
7. Corporate Social Responsibility
8. Hyper Competition

⇒ An increase in corporate entrepreneurship reflects an increase in social culture and business practices toward entrepreneurial action.

Q. Write down key-elements of entrepreneurial endeavor?

⇒ There are the following four elements.

1. New business venturing

2. Innovativeness

3. Self-renewal

4. Proactiveness

1. New-business venturing

⇒ Sometimes called Corporate venturing.

⇒ It refers to the creation of a new business within an existing organization.

⇒ These entrepreneurial activities consists of creating something new of value either by redefining the company's current products or services, developing new markets or forming more jointly autonomous units or firms.

2. Organizational innovativeness

⇒ Refers to product and service innovation, with an emphasis on development and innovation in technology.

⇒ It involves new product development, product improvements, and new production methods and procedures.

3. Self-renewal

⇒ Self-renewal is the transformation of an organization through the renewal of the key ideas on which it is built.

4. Proactiveness

⇒ Proactiveness includes initiatives and risk-taking, as well as competitive aggressiveness and boldness, which are particularly reflected in the orientations and activities of top-management.

⇒ A proactive organization tends to take risks by conducting experiments.

Q. Explain Managerial Vs Entrepreneurial decision making?

⇒ Entrepreneurial management is distinct from traditional management in terms of eight dimensions:

1. Strategic orientation

⇒ It refers to those factors that are inputs into the formulation of the firm's strategy.

⇒ It is like a philosophy of the firm that drives its decision about strategy;

- The way it looks at the world
- The way it looks at itself.

⇒ These perceptions are the driving factors behind the firm's strategy.

⇒ Opportunity based.

Managerial

Strategic orientation

⇒ Depends on controlled resources and long-term planning.

Commitment to Opportunities

⇒ They prefer steady, long-term opportunities.

Commitment of resources

⇒ Commits resources for total needed amount.

Entrepreneurial

⇒ Depends on the entrepreneur's perception of opportunity, reacting to rapid changes.

⇒ They prefer short-term, innovative opportunities.

⇒ Commits resources periodically, minimizing their usage.

Control of resources

⇒ They focus on using reserved resources efficiently.

Management structure

⇒ Formalized, hierarchical structure with defined roles.

Reward philosophy

⇒ Based on responsibility and seniority.

Growth orientation

⇒ Focuses on slow and steady growth.

⇒ These differences highlight how managerial decision making tends to focus on stability and controlled

- How to access other resources.

⇒ They use resources as needed, often renting or borrowing.

⇒ Flat structure with informal networks giving individuals more independence.

⇒ Based on creation of value.

⇒ Prioritize rapid growth.

decision making embraces risk taking and rapid expansion.

Culture Orientation

⇒ Opportunity search restricted by controlled resources failure punished

⇒ focus on encouraging employees to generate ideas, experiment and engage in other tasks that might produce opportunities. Promoting broad search for opportunities.

Q. What is dual process model? $\hookrightarrow$ Learning from failure

- $\Rightarrow$ Involves oscillation between a loss orientation (things that focus on grief) and a restoration orientation. (things that focus on rebuilding your life).
- $\Rightarrow$ Is an approach to negative emotions based on both avoidance and proactiveness toward secondary sources of stress arising from a major loss.

1. Loss Orientation

- $\Rightarrow$ This approach involves facing and processing the feelings associated with a loss.
- $\Rightarrow$ By going through this process, individuals gradually detach emotionally from what they have lost.

2. Restoration Orientation

- $\Rightarrow$ Based on both avoidance and proactiveness toward secondary sources of stress arising from a major loss.
- $\Rightarrow$ Also involves taking steps to move forward.

Q. Explain the benefits, or practical implications, of using the dual process model of Coping with negative emotions?

- $\Rightarrow$ Reduced Shame and embarrassment.
- $\Rightarrow$ Reduced Secondary stress.
- $\Rightarrow$ Comfort in the process.
- $\Rightarrow$ Enhanced recovery & learning process.
- $\Rightarrow$ Increased knowledge.

Q. Explain various sources of ideas for new ventures?

Idea:

A thought or suggestion as to a possible course of action.

⇒ Some of the fruitful sources of ideas for entrepreneurs include:

1. Consumers
2. Existing Products and services
3. Distribution channels
4. Federal Government
5. Research and development

1. Consumers:

⇒ The potential consumer should be the final focal point of ideas for the entrepreneurs.

⇒ Paying close attention to what potential customers want or need.

⇒ This could be easily observing what people talk about or by directly asking them through surveys or focus groups.

⇒ Make sure the idea you come up with has enough demand from a lot of people to make a successful business.

ex^e People struggle to find eco-friendly household products

2. Existing Companies:

⇒ By studying what other companies are doing, entrepreneurs can identify gaps in the market.

⇒ Potential entrepreneurs and intra-preneurs can see if there are ways to do it better or differently.

for example:

⇒ If you notice that a popular food delivery service does not offer healthy meal options, you might start a similar service that focuses on delivering nutritious meals.

3. Distribution channels:

⇒ Members of the distribution channels are familiar with the needs of the market and hence can prove to be excellent sources of new ideas.

⇒ Talk to people who sell products to customers, like retailers or online stores.

⇒ They know what sells well and what customers are asking for.

Examples

⇒ Imagine you are clothing designer and learn from retail stores that there is a growing demand for sustainable fashion.

⇒ You might decide to focus on creating a line of eco-friendly clothing to meet this demand.

4. Government

⇒ Government regulations or initiatives can spark new business ideas.

⇒ Keep an eye on government regulations or patents.

⇒ Sometimes new laws or rules can create opportunities for new products or services.

⇒ The patent office files contain numerous product possibilities that can assist entrepreneurs in obtaining specific product information.

Examples

⇒ If the government starts offering tax incentives for energy-efficient appliances, you might consider starting a business that sells those appliances.

5. Research and Development

⇒ If you have the resources, invest in researching and developing new ideas. Means experimenting with different materials, technologies, or processes to come up with something innovative.

ex: A clothing company might invest in R&D to create a fabric that's both durable & eco-friendly.